REPORT 7 OF 7

The S-Corp Tax Efficiency Briefing Pack

The S-Corp Strategy Map

The sequence that makes S-Corp strategies work — and what happens when it is skipped

In this report:

- ✓ The five phases of S-Corp strategy implementation and what each one requires
- ✓ Why sequence matters as much as the strategies themselves
- ✓ The most common out-of-order mistakes — and their real costs
- ✓ How to assess where your business currently sits on the map
- ✓ What the path forward looks like from any starting point

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INTRODUCTION

There is no shortage of S-Corp tax advice. There is a significant shortage of advice on what order to follow.

Business owners encounter S-Corp strategies in random sequence — a podcast mentions the Augusta Rule, a webinar covers accountable plans, a CPA brings up retirement contributions at year-end. Each strategy sounds appealing. Many are implemented piecemeal, often out of order, frequently without the foundational work that makes the strategy function correctly.

The result is an S-Corp structure that looks complete on the surface but is operating significantly below its potential — or, in some cases, creating risks that the owner does not know exist.

This report provides the sequence. Not just what to do, but what to do first, what depends on what, and what happens when the order is not followed.

PHASE 1: GET THE FOUNDATION RIGHT

Every strategy in S-Corp planning depends on the structural foundation being sound. Before salary optimization, before reimbursement systems, before any advanced strategies — the foundation must be in place and functioning.

What the Foundation Includes

- S-Corp election properly filed and confirmed (Form 2553 accepted by the IRS)
- Business entity (LLC or corporation) in good standing with the state
- Completely separate business bank account — no personal expenses flowing through the business
- Payroll set up and running consistently throughout the year
- Bookkeeping current — income and expenses recorded in real time, not reconstructed at year-end
- Basic compliance current — payroll tax deposits timely, prior returns filed

Foundation problems are not minor. They directly undermine every strategy above them. An Augusta Rule implementation on top of a business with no separate bank account has no actual cash movement to document. A retirement contribution on top of inaccurate books may be based on wrong income figures. An accountable plan with no current bookkeeping cannot produce the expense records required for substantiation.

Owners who have compliance gaps at the foundation level should address them before investing in upper-layer strategies. A strategy built on a broken foundation is fragile in a way that may not be obvious until an examiner looks closely.

> **A Common Misconception**
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> Some owners believe that having an S-Corp election in place is the same as having the foundation complete. The election is one step. Consistent payroll, separate finances, and current books are separate requirements that are frequently missing — even in businesses that have been operating as S-Corps for years.

PHASE 2: ESTABLISH AND DOCUMENT THE SALARY

Once the foundation is sound, the salary must be established — not just set, but analyzed, documented, and supported by market data.

The salary is the central input for every downstream calculation. Get it right and everything above it works from a correct base. Get it wrong and every calculation that follows is built on an unstable number.

What Establishing the Salary Requires

1. **Role analysis**

   Identify every function you perform in the business and estimate the time allocation across roles. This is the input for the compensation calculation.

2. **Market data research**

   Find compensation data for each role in your specific market and industry. This is what the IRS uses to evaluate your salary, and it is what you need to defend it.

3. **Blended calculation**

   Weight the market rates by your time allocation across roles to arrive at a composite reasonable compensation figure.

4. **Documentation**

   Record the analysis, the data sources, and the conclusion. This documentation is what you produce if the salary is ever questioned.

5. **Annual review**

   Repeat the analysis annually. A salary that was correct last year may be off this year. Annual review either confirms the number or identifies a needed adjustment.

This is what a Reasonable Compensation Report provides. It is not a checkbox. It is a professional analysis specific to your business, your role, and your market — creating documentation that survives examination because it mirrors the same framework the IRS uses.

PHASE 3: BUILD THE REIMBURSEMENT SYSTEM

With the salary correctly established and payroll running consistently, the accountable plan can be implemented. This phase converts legitimate out-of-pocket business expenses into tax-free reimbursements.

Steps to Implement

1. **Draft and adopt the written plan**

   The written policy document is the legal foundation of the accountable plan. It must exist before expenses are incurred that will be submitted for reimbursement.

2. **Identify qualifying expenses**

   Mileage, home office, and other regularly incurred business expenses that are currently being paid personally. These become the initial reimbursement items.

3. **Set up tracking systems**

   A mileage log (app-based or manual), a home office measurement and calculation, and a receipt collection process for other qualifying expenses.

4. **Establish a regular reimbursement cycle**

   Monthly or quarterly expense submissions, reviewed against receipts and logs, paid by the business with documentation retained.

Phase 3 should be implemented after Phase 2 — not before. The accountable plan is a supplement to compensation, not a substitute for it. An owner who has not established a defensible salary and then tries to route significant dollars through an accountable plan may face scrutiny about whether the 'reimbursements' are really disguised compensation.

Phase 3 can be implemented relatively quickly once the written plan is in place. The ongoing maintenance — keeping logs current, submitting regular expense reports — requires discipline but not significant time.

PHASE 4: OPTIMIZE RETIREMENT AND BENEFITS

Once salary is correctly calibrated (Phase 2), retirement plan contributions can be fully optimized. This is frequently the largest single tax reduction available to S-Corp owners — and it is almost always underutilized when Phase 2 has not been completed.

How Salary Affects Retirement Capacity

Most retirement plans calculate employer contribution limits as a percentage of W-2 wages. A solo 401(k) allows employer profit-sharing contributions up to 25% of W-2 compensation, capped at the annual limits ($72,000 in 2026). A salary that is too low reduces this capacity directly.

An owner earning $200,000 in net profit with a $60,000 salary can contribute up to $15,000 as employer profit sharing — plus the employee deferral of $24,500. Total: $39,500.

The same owner with a $90,000 salary (if market data supports it) can contribute up to $22,500 as employer profit sharing — plus the $24,500 deferral. Total: $47,000.

The $30,000 salary increase costs additional FICA taxes — roughly $4,590. But the additional $7,500 in retirement contributions saves approximately $1,800 in income taxes at the 24% bracket. Depending on the owner's overall tax situation, the net effect may be positive or neutral — but the larger contribution is sheltered from taxes and compounds for decades.

This is why Phase 2 must come before Phase 4. Optimizing retirement contributions without first establishing the correct salary is working from the wrong input.

Other Benefits in This Phase

- Health insurance: S-Corp owner health insurance premiums included in W-2 and deducted above the line on the personal return
- HSA contributions: coordinated with a qualifying high-deductible health plan, health savings accounts provide triple tax benefits
- Dependent care FSA: if applicable, can reduce taxable wages for qualifying childcare costs

Each of these requires the payroll and salary structure from Phases 1 and 2 to be in place. They cannot be added effectively without the underlying compensation structure functioning correctly.

PHASE 5: ADVANCED STRATEGY OVERLAYS

With the first four phases solid, targeted advanced strategies can be implemented. These are additive — they build on the foundation and amplify the benefits of the layers below.

The Augusta Rule

As detailed in Report 5, the Augusta Rule allows the owner to rent their home to the business for qualifying events — up to 14 days annually — with the rental income excluded from personal income. This strategy works cleanly when the bookkeeping is current (Phase 1), the salary is documented (Phase 2), and the business has an established pattern of legitimate operations.

Family Employment

Compensating family members for legitimate services they actually perform in the business can shift income to lower tax brackets. The work must be genuine, the compensation must be reasonable, and the payroll must be run correctly. This strategy requires Phase 1 to be functioning well before it can be added.

Entity Structure Review

For some owners — particularly those with multiple business activities, real estate holdings, or significant income growth — a review of the overall entity structure makes sense. This might involve evaluating whether additional entities, holding structures, or changes to how activities are organized produce better outcomes. This is the most complex layer and is typically appropriate only when the foundational layers are solid and the business has reached a scale that justifies the complexity.

> **Real-World Example**
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> A business owner had been operating her S-Corp for four years. She had the foundation (Phase 1) in place but had never had her salary formally analyzed — she was using a number she had set at formation. She had no accountable plan (Phase 3). She had a retirement account but was contributing less than her capacity because her salary was below market rate. She had implemented the Augusta Rule in Year 3, but the rental payment was a journal entry, not an actual cash transfer — making it undocumented and potentially invalid. A structured review identified the gaps in each phase and established a correction sequence: salary analysis first, accountable plan second, retirement contribution optimization third, Augusta Rule re-executed with proper documentation fourth. The corrected structure reduced her tax liability by more than $22,000 in the first full year.

ASSESSING WHERE YOU ARE ON THE MAP

Most S-Corp owners, when they honestly evaluate their structure against these five phases, find meaningful gaps. The most common pattern:

- Phase 1 (foundation): partially complete — payroll running, but books behind or finances mixed
- Phase 2 (salary): present, but undocumented — a number exists, but it has never been formally analyzed against market data
- Phase 3 (reimbursements): missing or informal — no written plan, or reimbursements happening without the required documentation

- Phase 4 (retirement): underoptimized — contributions being made, but not at the level the correctly calibrated salary would support
- Phase 5 (advanced): selective — one strategy may be in place, but not coordinated with the layers below it

If this pattern sounds familiar, the starting point is not to add more strategies. The starting point is to go back to Phase 2 and establish a documented, defensible salary. That one correction typically produces more tax benefit than any advanced strategy — because it fixes the foundation that every other layer depends on.

SUMMARY

The S-Corp strategy map is a sequence, not a menu. Strategies are not independent options to be selected and combined freely. They are layers in a structure where each one depends on the ones below it.

Phase 1 (foundation) enables Phase 2 (salary). Phase 2 enables Phase 3 (reimbursements) and Phase 4 (retirement). Phases 1 through 4 together enable Phase 5 (advanced strategies). The sequence is not arbitrary — it reflects real dependencies between the strategies.

Most S-Corp owners are operating somewhere in the middle of this map — with a foundation and a salary of some kind, but with significant gaps in the middle layers where the most accessible additional savings live.

The path forward from any point on the map is the same: identify the lowest incomplete phase and complete it before moving up. The gains compound as each layer is properly established.

For most owners, that means starting with a formal salary analysis. Not because it is the most exciting strategy — but because it is the foundation that makes everything else function correctly.

Ready to Take the Next Step?

Many business owners begin with the Salary Stress Test to understand where their compensation currently stands relative to market data. It is a useful diagnostic before any formal analysis.

businessiqedge.com/stresstest

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